US-China restrictions drive biomedical decoupling

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US and China restrictions will deepen biomedical license reliance amid innovation decoupling

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The addition of biotechnology to the covered sectors included in Treasury’s Notice of Proposed Rulemaking (NPRM) for the Comprehensive Outbound Investment National Security Act (COINS) was not anticipated by Eurasia Group and underscores the clear intention of President Donald Trump’s administration to bring biotech under the purview of national security-driven policymaking.
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Narrow industry licensing deals would be spared under the proposed rules while co-development deals and investments in early-stage work would be essentially halted, but the rule’s broad scope and unclear definitions of key terms will likely be narrowed and clarified after substantial pushback from industry and investors during the upcoming comment period.
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While China’s initial statement signals a measured response for the time being, Beijing has also pursued national security-driven restrictions that would prohibit the transfer of key intellectual property (IP) to foreign investors, leading to measures from both countries that will increase divergence in development and innovation and encourage the decoupling of the US and China biotech sectors.

Industry pushback will lead to some narrowing of the scope of the NPRM’s restrictions. Although the original COINS Act did not include biotech, the NPRM adds biotech and the broader pharmaceutical sector to the list of prohibited technologies (see figure). Treasury is seeking guidance from stakeholders during the public comment period, which is open until 7 December. Extensive requests for comments in the NPRM regarding potential public health and US business impacts suggest a willingness to consider a narrowed scope more explicitly driven by national security concerns.

We previously placed the odds at 70% that biotech would remain outside COINS outbound restrictions in 2026, with Treasury favoring targeted firm-level tools over sector-wide inclusion. Treasury's decision to include biotech in the NPRM is a departure from that assessment, and signals the administration’s determination that biotech should be considered a national security issue. Within the NPRM text, that assertion is cited to prohibit a broad range of pharmaceutical technology. However, because final implementing regulations are still pending, the scope and severity of the final rule remain unclear.

If enacted as proposed, the rules would push pharma companies to increasingly favor later-stage deals. Licensing deals would be allowed, but joint ventures prohibited. The latter are vaguely defined. A broad

interpretation could capture almost any agreement that involves assets and capital contributions and shared profits and losses. Partnership arrangements involving co-development of early-stage assets would require closer scrutiny and be replaced by more narrowly defined licensing deals of more established assets. Early-stage biotech companies could be particularly vulnerable commercially because they typically depend on successive funding rounds.

The biggest losers would be venture capital and investment funds. As the rules currently stand, funds seeking to capitalize on the strong growth potential of the emerging China biotech market would be the biggest losers. Direct investment in Chinese biotech and pharma companies would be halted.

An alternative "NewCo" model that has gained ground in recent years, in which Chinese assets are licensed by a newly established US-based company for development, may be allowed in certain conditions. However, the model would likely face substantial scrutiny, and its viability would depend on ownership, control, financing, and the continuing relationship with the Chinese partner. Investors would face less risk with NewCos built around drugs with clinical evidence. Furthermore, as currently drafted, the rules would place the responsibility for determining whether an investment is permissible on the investors themselves; considerable uncertainty regarding which arrangements are allowed could cause investors to shy away from the sector altogether.

China will not retaliate immediately but is also concerned about protecting IP. Beijing has yet to denounce the US move and instead issued a measured response. Given the expected pushback from US industry, Beijing may choose to wait until there is greater clarity on the rules' definitions and scope. At the same time, Beijing has introduced export restrictions that would prohibit the sale and transfer abroad of valuable IP in key technologies.

Enactment of the rules as proposed would contribute to divergence of the innovation ecosystems between the two countries. Even if companies can license later-stage products, US companies and investors won't have access to Chinese innovation at earlier stages. More specifically, US companies could continue to acquire rights to selected Chinese drug candidates but lose opportunities to finance and participate in their development earlier in the process. European investors may face less competition, but they would also have fewer US co-investors.

Industry concerns expressed in the public comments will provide a key watchpoint. The main question is whether pharmaceutical companies focus more on the scope of products prohibited or on securing clearer definitions of co-development deals and other arrangements that could fall under the joint venture category. Investment firms will likely push for a narrower scope of covered technologies, because they are primarily concerned with which companies they can still back and partner with.

Biotech will remain a national security concern moving forward. There will likely be some response to industry feedback—potentially narrowing the scope of pharma products covered, or more clarity in defining "joint venture"—but US investment restrictions on China biotech and pharma are likely to remain, particularly for sensitive emerging technologies.

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